EQUINOX FRONTIER MARKETS WEEKLY

INSTITUTIONAL MARKET INTELLIGENCE

Nigeria

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EXECUTIVE SUMMARY

- Global risk assets firmed as a preliminary US-Iran deal to reopen the Strait of Hormuz drove Brent down to $80.57/bbl, lifting the S&P 500 to 7,500.58 (+1.08% WoW, +9.57% YTD) into a hawkish Fed hold.
- Nigeria's NGX ASI was frontier Africa's worst performer, falling 3.59% WoW to 235,941.27 and paring its YTD gain to +51.62%, with ₦254.6bn turnover across 287,157 deals confirming active distribution rather than thin liquidity.
- Breadth collapsed to 11 advancers against 78 decliners (A/D 0.14x) as the Banking Index sank 10.49% WoW, dragging First HoldCo 20.29% and GTCO 15.01% lower while defensive Oil & Gas held its +111.13% YTD lead.
- Macro signals were mixed: the naira firmed to ₦1,358.20/$ (+6.10% YTD) and reserves hit a 17-year high of $51.04bn, but CPI ticked up to 15.93% YoY with the MPR held at 26.50%.
- Banking remains the swing factor into next week, where clarity on the CBN's draft HoldCo ring-fencing guidelines and Family Bank's 23 June NSE listing could either arrest the bank-led selloff or extend the rotation into fixed income.

Market Outlook — Coming Week

- Banking remains the key swing factor: clarity on the CBN's draft HoldCo ring-fencing guidelines and the start of half-year earnings will either arrest a bank-led selloff that has already cut the Banking Index 10.49% WoW to 2,058.07, or extend the rotation into fixed income that left the Sovereign Bond Index the only sub-index unchanged.
- Export-linked Oil & Gas (+111.13% YTD) and Telecoms screen as the more resilient segments on naira-hedged, cash-generative earnings — Aradel's FY25 PAT rose 192% to ₦757.3bn, while MTN and Airtel both closed flat — though 235,000 is a key technical reference whose sustained breach could pull even defensives lower.
- Key calendar items: Family Bank's NSE listing (23 Jun) at a ~24.1% premium tests frontier primary-market appetite; the Dangote Sugar (₦60) and Universal Insurance (₦1.20) rights-issue closes gauge demand; and the mid-July NBS June CPI print will test the disinflation thesis against the latest 15.93% reading and a hawkish Fed backdrop.

SECTION 1 | GLOBAL MARKETS SNAPSHOT

Index / Market	This Week Close	WoW %	MoM %	YTD %	52-Wk High	52-Wk Low
S&P 500 (USA)	7,500.58	+1.08%	+1.32%	+9.57%	7609.78	6025.17
STOXX 600 (Europe)	635.61	-0.24%	+3.97%	+7.33%	639.31	535.03
Nikkei 225 (Japan)	71,250.06	+0.28%	+17.67%	+41.54%	71250.06	38354.09
Shanghai Comp. (China)	4,090.48	+1.46%	-0.99%	+3.06%	4,242.57	3,359.90
KOSPI (South Korea)	9,052.42	-0.13%	+24.49%	+114.81%	9063.84	3014.47

Global Markets Commentary

- ▲ Risk assets rallied as a preliminary US-Iran agreement to end the Middle East war and reopen the Strait of Hormuz erased crude's war premium. Brent fell from $83.72 to $79.55 over the week, easing inflation fears and lifting global equities into the Fed decision.
- ▼ A hawkish Fed capped the relief rally. New Chair Kevin Warsh held rates but signaled at least one 2026 hike, sending the dollar index to a one-year high of 100.79. US equities pared midweek gains before semiconductors drove a Thursday rebound.
- ▲ Developed Asia led global performance. The Nikkei 225 closed +0.28% WoW but +41.54% YTD, while KOSPI surged +114.81% YTD despite a -0.13% weekly dip — both near 52-week highs.
- ▼ Europe lagged on a stronger dollar. STOXX 600 fell -0.24% WoW to 635.61, underperforming the S&P 500's +1.08% gain to 7,500.58 (+9.57% YTD), as the euro slid below $1.15 on widening rate-path divergence.

SECTION 2 | FRONTIER AFRICA MARKETS SCOREBOARD

Market / Index	Index Level	WoW %	MoM %	YTD %	Mkt Cap
Nigeria — NGX ASI	235941.27	-3.59%	-5.77%	+51.62%	₦151.3tn
South Africa — JSE All Share	1,12,610.79	+2.14%	-0.92%	-2.78%	R21.4 trillion
Kenya — NSE All Share	217.57	+4.21%	+5.74%	+16.61%	Ksh3.56 trillion
Egypt — EGX 30	52,621.84	+1.10%	-0.29%	+25.80%	£3.76 trillion
Ghana — GSE Composite	14,774.00	+1.86%	+2.94%	+68.42%	GHS288.24 billion

African FX Snapshot

Currency Pair	Rate (Fri Close)	WoW Chg	WoW %	YTD %
USD/NGN (Nigeria Official)	1,358.20	-2.58	-0.19%	-6.10%
USD/ZAR (South Africa)	16.39	0.10	+0.61%	-0.73%
USD/KES (Kenya)	128.45	-0.11	-0.09%	+0.35%
USD/EGP (Egypt)	49.89	-2.06	-3.97%	+4.61%
USD/GHS (Ghana)	11.20	0.20	+1.82%	+2.75%
USD/NGN Parallel (Bureau)	1,405.00	2.33	-0.17%	-4.75%

Frontier Africa Commentary

- ▲ Egypt's EGX 30 led on a risk-adjusted basis, gaining +1.10% WoW and +25.80% YTD while the Egyptian pound strengthened +3.97% WoW (USD/EGP 49.89), a rare combination of equity and FX gains signalling improved foreign confidence and easing dollar stress.
- ▼ Nigeria's NGX ASI was the worst performer, falling -3.59% WoW and -5.77% MoM to 235,941.27, paring its YTD gain to +51.62%. The retreat tracks the collapse in crude prices from the US-Iran deal, which erased the oil-revenue premium underpinning the rally.
- ▲ Kenya outperformed with the NSE +4.21% WoW and +16.61% YTD, supported by capital-market momentum ahead of Family Bank's June 23 NSE listing. USD/KES held firm at 128.45, near flat YTD.
- ▼ FX diverged sharply on the dollar's hawkish-Fed surge. USD/EGP (-3.97%) and USD/NGN (-0.19% official, ₦1,358.20) firmed, while USD/ZAR weakened +0.61% to 16.39 as South Africa's recovery lost momentum on soft business confidence.

SECTION 3 | NIGERIA — MARKET PULSE

NGX ASI Level	Weekly Change	YTD Return	Market Cap (₦tn)
235941.27	**-3.59%**	**+51.62%**	**₦151.3 tn**

Weekly Volume (mn)	Turnover (₦ bn)	Advances	Declines
440.30m	**₦254.6 bn**	**11**	**78**

Unchanged	A/D Ratio	Number of Deals	52-Wk ASI Range
57	**0.14x**	**287,157**	**117861.13 - 252508.19**

Market Snapshot Commentary

- The NGX ASI fell -3.59% WoW to close at 235,941.27, paring its YTD return to +51.62% and trimming market capitalisation to ~₦151.3tn. The selloff reflected a combination of falling crude prices following the preliminary US-Iran agreement to reopen the Strait of Hormuz, banking-sector weakness on the CBN's draft HoldCo proposals, and liquidity pressures associated with ongoing capital raises. With Brent retreating to $79.55 from a mid-week peak, the oil-revenue tailwind supporting bourse sentiment faded, prompting profit-taking after an extended run.
- Breadth confirmed the broad-based nature of the sell-off. Decliners outnumbered advancers 78 to 11, driving an exceptionally weak A/D ratio of 0.14x, with 57 counters unchanged. Activity stayed firm: weekly volume reached 440.30m units across 287,157 deals, with turnover of ₦254.6bn, indicating the pullback was driven by active distribution rather than thin liquidity.
- The index remains well within its 52-week range of 117,861.13 - 252,508.19, holding closer to the upper bound despite the weekly retreat. At current levels the ASI sits roughly 6.6% below its 52-week high, leaving the medium-term uptrend intact pending stabilisation in crude and a recovery in market breadth.

SECTION 4 | NIGERIA — SECTORAL SCOREBOARD

Index / Sector	This Week Close	Prior Week Close	WoW %	MoM %	YTD %	QtD %
NGX All-Share Index (ASI)	**235941.27**	**244738.74**	-3.59%	-5.77%	+51.62%	+17.22 %
NGX Main Board Index	**10862.73**	**11149.76**	-2.57%	-4.72%	+44.27%	+17.07 %
NGX 30 Index	**8554.76**	**8877.76**	-3.64%	-5.79%	+50.81%	+17.10 %
NGX Banking Index	**2058.07**	**2299.26**	- 10.49%	- 12.73%	+35.77%	+10.60 %
NGX Consumer Goods Index	**4696.54**	**4773.61**	-1.61%	-4.24%	+18.14%	+7.72%
NGX Oil & Gas Index	**5637.73**	**5698.36**	-1.06%	-5.72%	+111.13 %	+28.56 %
NGX Industrial Goods Index	**11114.23**	**11590.65**	-4.11%	-9.25%	+95.79%	+26.64 %
NGX Insurance Index	**1168.47**	**1259.41**	-7.22%	-7.49%	-1.75%	-5.11%
NGX Pension Index	**11358**	**11937.96**	-4.86%	-7.76%	+59.57%	+18.48 %
NGX Sovereign Bond Index	**676.97**	**676.97**	0.00%	-2.04%	-0.76%	+0.42%

Market Snapshot Commentary

- The NGX Sovereign Bond Index was the only sector to avoid losses, closing flat as institutional investors rotated from equities into fixed income, drawn by Treasury Bill yields of 16.13%-17.51% and a one-year auction oversubscribed beyond ₦1.86tn.
- The NGX Banking Index was the clear laggard, plunging -10.49% WoW to 2,058.07 and -12.73% MoM, as the CBN's draft HoldCo guidelines — imposing stricter ring-fencing and a 20% capital surcharge over subsidiaries — sparked dilution fears across Access, GTCO, FBNH and FCMB.
- First HoldCo (-20.2%) and GTCO (-15.0%) led declines. Insurance (-7.22%) and Pension (-4.86%) followed amid broad de-risking. Defensive Oil & Gas held up best among cyclicals (-1.06%), retaining a +111.13% YTD lead. Watch next week for HoldCo policy clarity and half-year earnings, which could arrest the banking rotation or deepen the fixed-income shift.

SECTION 5 | NIGERIA — TOP MOVERS

▲ Top 10 Gainers

#	Company	Ticker	Close (₦)	WoW %
1	Cornerstone Insurance	CORNERST	₦6.05	+11.01%
2	Academy Press	ACADEMY	₦8.10	+8.72%
3	Conoil	CONOIL	₦210.00	+8.25%
4	Neimeth Int'l Pharma	NEIMETH	₦8.95	+4.68%
5	Ikeja Hotel	IKEJAHOTEL	₦44.60	+3.36%
6	Royal Exchange	ROYALEX	₦1.53	+2.00%
7	AXA Mansard Insurance	MANSARD	₦12.85	+1.98%
8	UAC of Nigeria	UACN	₦185.00	+1.65%
9	Champion Breweries	CHAMPION	₦13.20	+0.76%
10	LivingTrust Mortgage Bank	LIVINGTRUST	₦4.00	+0.76%

▼ Top 10 Losers

#	Company	Ticker	Close (₦)	WoW %
1	International Energy Insurance	INTENEGINS	₦5.06	-28.83%
2	First HoldCo Plc	FIRSTHOLDCO	₦55.00	-20.29%
3	John Holt	JOHNHOLT	₦11.20	-17.65%
4	NAHCO	NAHCO	₦148.50	-17.27%
5	Zichis	ZICHIS	₦26.00	-16.13%
6	Tripple Gee	TRIPPLEG	₦3.36	-16.00%
7	FTN Cocoa Processors	FTNCOCOA	₦7.92	-15.83%
8	GTCO	GTCO	₦115.55	-15.01%
9	NEM Insurance	NEM	₦29.00	-14.71%
10	Sovereign Trust Insurance	SOVRENINS	₦2.16	-13.94%

Most Active — Volume & Value

#	Company	Ticker	Weekly Volume	Value Traded (₦)
1	Access Holdings	ACCESSCORP	64.97m	₦1,481,407,337
2	Zenith Bank	ZENITHBANK	35.17m	₦3,869,072,790
3	Sterling Financial	STERLINGNG	28.44m	₦220,399,220
4	United Bank for Africa	UBA	16.33m	₦645,190,038
5	GTCO	GTCO	14.01m	₦1,619,176,036

Market Movers Commentary

- First HoldCo's -20.29% collapse and GTCO's -15.01% slide headline the week, both direct casualties of the CBN's draft HoldCo ring-fencing rules that threaten dilution across diversified banking groups. The weakness appears sector-wide rather than company-specific: GTCO also topped value charts at ₦1.62bn, signalling institutional distribution rather than retail flight.
- International Energy Insurance's -28.83% plunge — the week's steepest — extends the broad risk reduction across the insurance sector. Only one gainer posted double-digit appreciation while eight decliners fell more than 15%, underscoring the negative breadth.

Large-Cap Watch List

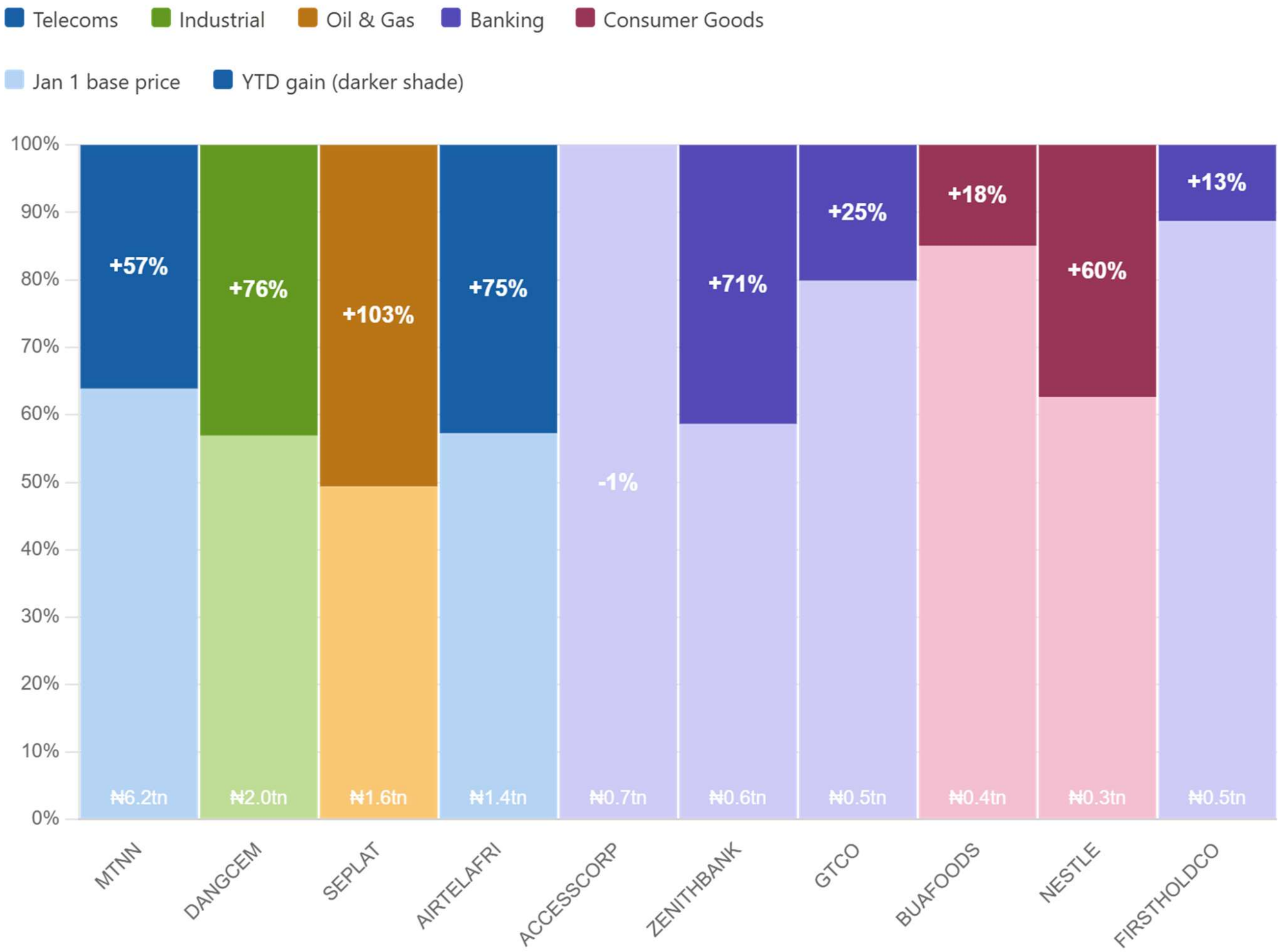
Ticker	Company	Close (₦)	Prev Close	WoW %	Weekly Vol	YTD %	P/E
MTNN	MTN Nigeria	800.00	800.00	0.00%	39.70m	+56.56%	12.88
GTCO	GTCO	115.55	128.35	-9.97%	124.45m	+25.19%	16.27
DANGCEM	Dangote Cement	1,070.00	1,070.00	0.00%	5.06m	+75.70%	1,701.35*
ACCESSCORP	Access Holdings	22.80	23.00	-0.87%	64.97m	-0.87%	8.10
BUAFOODS	BUA Foods	939.00	939.00	0.00%	1.94m	+17.54%	31.56
AIRTELAFRI	Airtel Africa	3,962.60	3,962.60	0.00%	2,893	+74.56%	26.9
ZENITHBANK	Zenith Bank	110.00	115.50	-4.76%	140.46m	+70.54%	8.27
FIRSTHOLDCO	First HoldCo (FBN)	55.00	61.00	-9.84%	156.41m	+12.70%	23.62
NESTLE	Nestlé Nigeria	3,125.00	3,125.00	0.00%	0.61m	+59.60%	75.66
SEPLAT	Seplat Energy	11,363.90	11,363.90	0.00%	0.73m	+102.57%	53.43

** Dangote Cement P/E of 1,701.35x reflects a trailing-EPS artifact in the source feed and is not a meaningful valuation signal; on reported FY25 EPS of ₦59.86 the multiple is approximately 18x.*

Market Movers Commentary

- Large-caps lagged, with the banking complex driving the segment's underperformance.
- GTCO (-9.97%) and FirstHoldCo (-9.84%) bore the brunt of HoldCo ring-fencing fears, while Zenith Bank fell -4.76% to ₦110.00 — yet all three retain compelling valuations, trading at P/E multiples of 16.27x, 23.62x and 8.27x respectively against deep YTD gains.
- Defensive heavyweights held firm: MTNN, Dangote Cement, BUA Foods and Seplat closed flat WoW, the latter still leading the watch list at +102.57% YTD.
- The split underscores a rotation out of banking-sector risk rather than wholesale large-cap distribution.

NGX Large Cap: Market Cap, YTD Performance and Sector



Market Movers Commentary

- Telecoms (blue) dominates by market cap — MTNN (₦6.2tn) and Airtel Africa together exceed half the total column width, both closing flat WoW and anchoring the index against deeper losses.
- Oil & Gas (amber) — Seplat is the strongest YTD gain of any large-cap at +103%, the tall amber column unmoved on the week as commodity/export names continued to hedge naira risk.
- Banking (purple) — the visible stress point. GTCO's gain segment has shrunk to +25% YTD and Access now shows effectively no gain (-1%), reflecting the HoldCo ring-fencing selloff. Zenith holds a larger +71% YTD base but fell on the week.
- Industrial (green) — Dangote Cement remains the second-largest column at +76% YTD, flat WoW and outpacing its modest position from prior weeks.
- Consumer Goods (pink) — BUA Foods (+18%) and Nestlé (+60%) stay the smallest columns, with BUA still digesting its post ex-dividend markdown.
- The structural signal: the rally's leadership has rotated decisively away from banking toward export-linked Oil & Gas and defensive Telecoms, with the purple segment now the clearest drag on the large-cap complex.

SECTION 6 | NIGERIA — EARNINGS & CORPORATE ACTIONS

Earnings Releases

Company	Period	Revenue (₦bn)	PAT (₦bn)	EPS (₦)	Analyst Comment
Aradel Holdings (ARADEL)	FY2025	699.4	757.3	91.59	Beat — PAT +192% YoY; boosted by ND Western/Renaissance acquisition gains. Final DPS ₦23 (total FY ₦33).
Dangote Cement (DANGCEM)	FY2025	4,306.7	1,014.9	59.86	Final dividend ₦45/share declared
Fidelity Bank Plc	Q1 2026	434.95	74.47	5.69	Strong revenue growth, PAT impacted by higher costs
Cornerstone Insurance Plc	Q1 2026	14.01	1.48	0.08	In-line performance
May & Baker (MAYBAKER)	FY2025	38.26	4.44	2.57	Beat — Revenue +32.4% YoY, PAT +173.7% YoY. (Prior-period filing; included for dividend context.)
Thomas Wyatt Nig. Plc	Q1 2026	0.041	0.003	0.00002	Quarterly results released

Dividend Announcements

Company	Type	DPS (₦)	Qualification	Payment Date
Dangote Cement (DANGCEM)	Final (FY25)	45.00	17 Jun 2026	2 Jul 2026
Aradel Holdings (ARADEL)	Final (FY25)	23.00	9 Jul 2026	31 Jul 2026
Cornerstone Insurance Plc	Final FY2025	0.28	2 Jul 2026	20/22 Jul 2026
Ikeja Hotel Plc	FY2024 & FY2025	0.15 + 0.30	Early Jul 2026	24 Jul 2026
Julius Berger Nigeria Plc	Final	4.25	N/A	19 Jun 2026
UAC of Nigeria (UACN)	Final (FY25)	1.00	11 Jun 2026	26 Jun 2026
FCMB Group (FCMB)	Final (FY25)	0.35	15 Jun 2026	30 Jun 2026

Airtel Africa (AIRTELAFRI)	Final/Interim	4.26	17 Jun 2026	24 Jul 2026
Eterna (ETERNA)	Final (FY25)	0.5	13 Apr 2026	12 May 2026
Champion Breweries (CHAMPION)	Final (FY25)	0.07	10 May 2026	21 May 2026

AGMs, Rights Issues & Other Corporate Events

Company / Body	Event Type	Date	Key Details
Family Bank (Kenya — NSE)	Listing by introduction	23 Jun 2026	Cross-border item: lists 1.66bn shares at KSh18.00 on NSE Main Market; ~24.1% premium to KSh14.50 placement price. Starting mkt cap ~KSh29.9bn. Flagged from Section 2.
Dangote Refinery	Private placement	15–19 Jun 2026	Bids reportedly exceeded $5bn; one of Nigeria's largest corporate capital raises. Liquidity-raising cited as a driver of NGX selling pressure.
Securities & Exchange Commission (SEC)	Market microstructure rule	Approved 16 Jun 2026	New tick-size / minimum-trade-quantity framework approved (Group A ≥₦1,000; B ₦500–999; C <₦500). Effective date not yet announced.
Julius Berger Nigeria Plc	AGM	18 Jun 2026	Dividend payout approved
Ikeja Hotel Plc	AGM	20 Jul 2026	Dividend proposals
Cornerstone Insurance Plc	AGM / Scheme Meeting	20 Jun & 26 Jun 2026	Dividend and restructuring
Aradel Holdings Plc	AGM	30 Jul 2026	FY2025 results approval
Nigerian Exchange (NGX)	Price-formation rule	Week of 15–19 Jun	Minimum share quantity must trade before a price tick registers; alters price discovery, esp. for reclassified Group C names (banks, consumer).

Corporate Actions Commentary

Earnings

- Aradel Holdings led the week's reporting, posting FY25 revenue of ₦699.4bn (+20% YoY) and PAT of ₦757.3bn (+192% YoY) — a clear beat, though boosted by ₦217.1bn bargain-purchase and ₦393.2bn FX-translation gains from the ND Western/Renaissance consolidation; EPS ₦91.59.

- FCMB Group reported FY25 gross revenue of ₦1.13tn (+42.5%), PAT ₦177.3bn (+142%) and EPS ₦3.96 (+66.7%), with ROE improving to 23.2%. UACN delivered revenue of ₦340.5bn (+73%) on the CHI consolidation, though ₦15bn one-off acquisition costs weighed on profit.
- Eterna grew PBT 52.9%.

Dividends

- Dangote Cement declared a ₦45.00 final dividend (FY25), up from ₦30.00, qualification 17 Jun, payment 2 Jul.
- Aradel proposed ₦23.00 final (₦33.00 FY total), qualification 9 Jul.
- Confirmed payouts driving this week's ex-dividend markdowns: FCMB ₦0.35 (qual. 15 Jun), UACN ₦1.00 (qual. 11 Jun, +355% YoY), Airtel Africa 4.26 US cents (qual. 17 Jun), and Eterna ₦0.50. These markdowns mechanically pressured the index.

Capital Actions

- Dangote Refinery's private placement drew bids exceeding $5bn, with liquidity-raising cited as a contributor to NGX selling. Family Bank (Kenya) lists on the NSE 23 Jun at KSh18.00, a ~24.1% premium to placement.

Other

- The SEC approved a new tick-size/minimum-trade-quantity framework on 16 Jun, reclassifying most banks and consumer names into Group C — a structural shift to price discovery once effective.

SECTION 7 | NIGERIA — MACRO DASHBOARD

Currency & FX

Rate	Current	Prior Week	WoW Chg	YTD Chg
USD/NGN (NAFEM Official)	₦1,358.20	₦1,360.78	-2.58	-6.10%
USD/NGN (Parallel/Bureau)	₦1,405	₦1,405	-	—
GBP/NGN (Official)	₦1,796.10	₦1,826.41	-30.31	—
EUR/NGN (Official)	₦1,557.58	₦1,567.65	-10.07	—

Key Macroeconomic Indicators

Indicator	Latest	Prior Period	Change
Nigeria CPI Inflation (YoY %)	+15.93%	+15.69%	+0.24pp
CBN Monetary Policy Rate	+26.50%	+27.00%	held (cut Feb)
Brent Crude (USD/bbl)	$80.57	$94.00	-$13.43
Nigeria Bonny Light (USD/bbl)	$96.75	$98.74	-$1.99
FGN 10-Yr Bond Yield (%)	+14.96%	+14.95%	+0.01pp
Nigeria Foreign Reserves ($bn)	$51.04bn	$50.11bn	+$0.93bn
Gold (USD/oz)	$4,156.6/oz	$4,214.32	-58.70
USD/NGN (Official)	₦1,358.20	₦1,360.78	-2.58

Macro Commentary

- The naira firmed modestly against all major crosses. USD/NGN closed at ₦1,358.20 at the official NAFEM window, up ₦2.58 WoW (-0.19%) and +6.10% stronger YTD. The parallel rate held flat at ~₦1,405, leaving the official-parallel spread at ₦46.80 — a narrow gap that signals continued FX-market convergence under the CBN's liquidity management. The naira also gained against the pound (GBP/NGN ₦1,796.10, from ₦1,826.41) and euro (EUR/NGN ₦1,557.58, from ₦1,567.65), partly reflecting broad dollar strength on the hawkish Fed.
- Monetary policy held steady while inflation ticked up. The CBN Monetary Policy Rate remains at 26.50% following the 305th MPC's hold on 20 May, after the February cut. Headline CPI rose to 15.93% YoY in May (rebased), up 0.24pp from 15.69%, keeping real rates firmly positive and limiting near-term easing scope. The FGN 10-year bond yield held at 14.96%, broadly unchanged WoW, as fixed-income demand stayed robust — the latest one-year T-bill drew over ₦1.86tn in subscriptions at a 17.34% stop rate.
- Oil weakened sharply but reserves strengthened. Brent fell to $80.57/bbl (-$13.43 WoW) as the US-Iran deal reduced the geopolitical risk premium. The CBN's Bonny Light reading of $96.75 (from $98.74) reflects the official series, which trails spot benchmarks and had not yet incorporated the post-deal price decline at the time of publication. External reserves rose to $51.04bn as of 18 Jun, a 17-year high (+$0.93bn). Gold eased to $4,156.6/oz.
- Events to watch next week: Family Bank lists on the NSE (23 Jun); Dangote Cement dividend payment date (2 Jul, qual. 17 Jun); next NBS CPI print (June 2026 data, mid-July).

SECTION 8 | NIGERIA — MARKET METRICS & VALUATION

Valuation Metrics

Metric	Current	Prior Week	Change
Market P/E Ratio (large-cap, cap-weighted)	43.97	45.65	-1.51
Banking Sector avg P/E	10.60	12.06	-0.08
Consumer Goods avg P/E	221.76	225.67	-2.83
Oil & Gas avg P/E	35.80	36.48	+0.70
Market Dividend Yield (avg)	+3.75%	n/a	n/a

Methodology notes: "Market P/E" uses the NGX-published Main Board cap-weighted total, which excludes the extreme outliers (MTNN ~78,616x; Dangote Cement ~1,836x) that distort the Premium Board figure. Sector averages are simple (equal-weighted) averages of constituents that carry a reported P/E. Aradel is excluded from Oil & Gas as it has no reported P/E. P/B is not derivable from the supplied NGX files. Dividend yield is a simple average over a large-cap, dividend-paying sample from the Daily Official List.

Foreign Portfolio Investment (FPI)

Metric	Current (Apr-26)	Prior (Mar-26)	Trend
FPI Buy Value (₦ bn)	90.84	107.05	↓
FPI Sell Value (₦ bn)	156.94	181.77	↓
FPI Buy/Sell Ratio	0.58	0.59	↓
FPI Net Flow (₦ bn)	-66.10	-74.72	↑ **(less negative)**
FPI as % of Total Turnover	+13.74%	+16.56%	↓

FPI values converted from ₦'Trillion to ₦'billion. Buy = foreign inflow (purchases); Sell = foreign outflow (sales/liquidation). Net Flow = inflow − outflow (negative = net foreign selling). FPI as % of total turnover uses total foreign transactions ÷ total market transactions for the month. The NGX FPI report is published roughly two weeks after month-end; April 2026 is the latest available.

Macro Commentary

- Banking remains the value anchor, averaging 10.60x — GTCO 16.27x, Zenith 8.27x, Access 8.10x and FirstHoldCo 23.62x — versus a market large-cap proxy of 43.97x. The dispersion is stark: Seplat trades at 53.43x and Nestlé at 75.66x, while the screened figure for Dangote Cement of 1,701.35x reflects a trailing-EPS artifact in the source feed and is not a meaningful valuation signal; on reported FY25 EPS of ₦59.86 the multiple is closer to ~18x. The cheap banks reflect HoldCo dilution fears rather than weak fundamentals.
- Foreign flows stayed net negative in the latest NGX data (April 2026): buys ₦90.84bn against sells ₦156.94bn, a net outflow of ₦66.10bn at 13.74% of turnover. The narrowing deficit (from -₦74.72bn) signals tentative re-engagement, but offshore investors remain structurally cautious on naira and repatriation risk.

SECTION 9 | INVESTMENT THEME

Theme — Defensive Rotation Amid the Liquidity Squeeze

OBSERVATION	Telecoms and Oil & Gas are the only large-cap segments resisting the June decline. The NGX Oil/Gas Index holds +111.13% YTD against the ASI's -3.59% weekly drop to 235,941.27, while Airtel Africa and MTN closed the week flat as the Banking Index collapsed -10.49% WoW and Consumer Goods fell -1.61% (NGX CG Index). Decliners outnumbered advancers 78 to 11.
DRIVER	The two defensive sectors share isolation from domestic liquidity constraints. Telecoms carry localized pricing power and consistent daily cash flows; Oil & Gas benefits from export-linked, naira-hedged earnings (Aradel posted FY25 PAT +192% to ₦757.3bn). The selloff elsewhere appears sector-wide: the ₦2.5tn banking recapitalization and CBN HoldCo ring-fencing rules drove First HoldCo -20.29% and GTCO -15.01%, while consumer names came under pressure from FX-driven input costs.
IMPLICATION	Over a near-term horizon, positioning favours liquidity-backed defensives rather than chasing oversold value. Airtel Africa and MTN offer relative resilience through the decline; Aradel offers structural earnings support. Near-term positioning should favour sectors demonstrating earnings resilience and balance-sheet strength, recognising the heavily negative breadth backdrop.
RISK	235,000 remains an important near-term technical reference level; a sustained break below it could pull even defensives into the broader decline — telecoms and energy are relatively, not absolutely, insulated. A sustained decline in crude prices would weaken earnings expectations for upstream producers, and any forced de-risking (e.g. Dangote Refinery placement liquidity calls) tends to hit the most liquid names first, which are precisely these defensives. Oando's elevated day-trader activity warrants caution.

SECTION 10 | OUTLOOK — SECTORAL VIEWS & EVENTS TO WATCH

Sectoral Outlook — Coming Week

Sector	View	Conviction	Rationale
Banking	UW	H	The CBN HoldCo ring-fencing rules and ₦2.5tn recapitalization drained liquidity, sending the Banking Index ▼10.49% WoW and dragging First HoldCo ▼20.29% and GTCO ▼15.01%, despite cheap valuations (Zenith 8.27x, Access 8.10x, GTCO 16.27x).
Consumer Goods	UW	M	The NGX CG Index fell ▼1.61% WoW with Unilever and others among the weakest names; CPI at 15.93% and FX-driven input costs compress margins and sustain institutional profit-taking.
Oil & Gas	OW	H	Sector leads YTD at ▲111.13% with Aradel dominating turnover (₦11.20bn intraweek) and FY25 PAT ▲192%; export-linked, naira-hedged earnings favour tactical positioning despite Brent's slide to $79.55.
Industrial Goods	N	M	Index fell ▼4.11% WoW on Dangote Cement ex-div (₦45) and profit-taking after a ▲95.79% YTD run.
Insurance	OW	M	Index fell ▼7.22% WoW amid broad risk reduction across the sector; International Energy Insurance ▼28.83% led all decliners, overriding any low-beta appeal.
Telco (MTN/Airtel)	OW	H	Telecoms anchored the market — MTN and Airtel closed flat WoW against a ▼3.59% ASI — with localized pricing power and consistent cash flows supporting near-term defensive rotation.

OW = Overweight (expect outperformance) · N = Neutral · UW = Underweight · H/M/L = High/Medium/Low conviction

▲ BULLISH FACTORS

- Oil & Gas (▲111.13% YTD) and Telecoms held firm through the decline, providing naira-hedged, cash-generative defensive anchors as liquidity constraints weighed on cyclicals.
- The ASI retains a ▲51.62% YTD gain and trades near the upper end of its 52-week range (117,861–252,508), with the macro-bullish channel intact above 220,000.
- External reserves rose to a 17-year high of 51.04bn (+$0.93bn) and the naira firmed to ₦1,358.20/
- (+6.10% YTD), easing FX-repatriation concerns for foreign investors.

▼ BEARISH RISKS

- CBN liquidity tightening and HoldCo ring-fencing drove the Banking Index ▼10.49% WoW; further dilution fears could deepen the bank-led selloff.
- Breadth collapsed to 11 advancers vs 78 decliners (A/D 0.14x); the market lost ₦5.69tn in one week, erasing all of May's gains — the weakness is broad, not isolated.
- Brent's slide to $79.55 (post-Strait-of-Hormuz deal) threatens Nigeria's oil premium and FGN revenue, with FPI net flows still negative (-₦66.10bn in April).

Events to Watch — Next Week

Date	Event Type	Details & Why It Matters
23 Jun	Family Bank (Kenya) lists on NSE by introduction	ests frontier primary-market appetite; ~24.1% premium to placement signals regional risk sentiment.
24 Jun	Dangote Sugar rights issue closes (8.1bn shares at ₦60)	Subscription outcome signals primary-market appetite; dilution and pricing will weigh on the counter.
22 Jun	Universal Insurance rights issue closes (2.67bn shares at ₦1.20)	Tests retail demand in the outperforming Insurance segment.
Mid-July	NBS June CPI release	A further easing from 15.93% would support the disinflation thesis and lift rate-sensitive Banking and Consumer names; a hawkish Fed backdrop keeps naira/FPI pressure live.